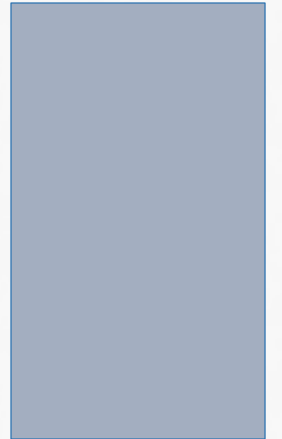


THE ORGANIZING PROCESS

MS AMNA MUNIR



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WHILE ORGANIZING IS DECIDING HOW BEST TO GROUP ORGANIZATIONAL RESOURCES:

- An Organizational Structure is a set of six basic building blocks or elements that managers may use to configure and construct an organization.

SIX BASIC BUILDING BLOCKS FOR ORGANIZATION STRUCTURE

1. Designing jobs
2. Grouping Jobs
3. Establishing reporting relationships between jobs
4. Distributing authority among jobs
5. Coordinating activities among jobs
6. Differentiating among positions

1. DESIGNING JOBS

- Job design is the determination of an individual's work-related responsibilities.
- Job specialization is the degree to which the overall task of the organization is broken down and divided into smaller component parts. Sometimes referred to as the division of labor.
- Work Team allows an entire group to design the work system it will use to perform an interrelated set of tasks.
- The team itself decides how jobs will be allocated and assigns specific tasks to members, monitors and controls its own performance and has autonomy over work scheduling.

2. GROUPING JOBS: DEPARTMENTALIZATION

- Departmentalization is the process of grouping jobs according to some logical arrangement.
- In smaller organizations, the owner-manager/partner may be able to personally oversee everyone who works there.
- As an organization grows, new managerial positions are created to supervise work of others grouped according to some plan which leads to the creation of departments.

CONT.

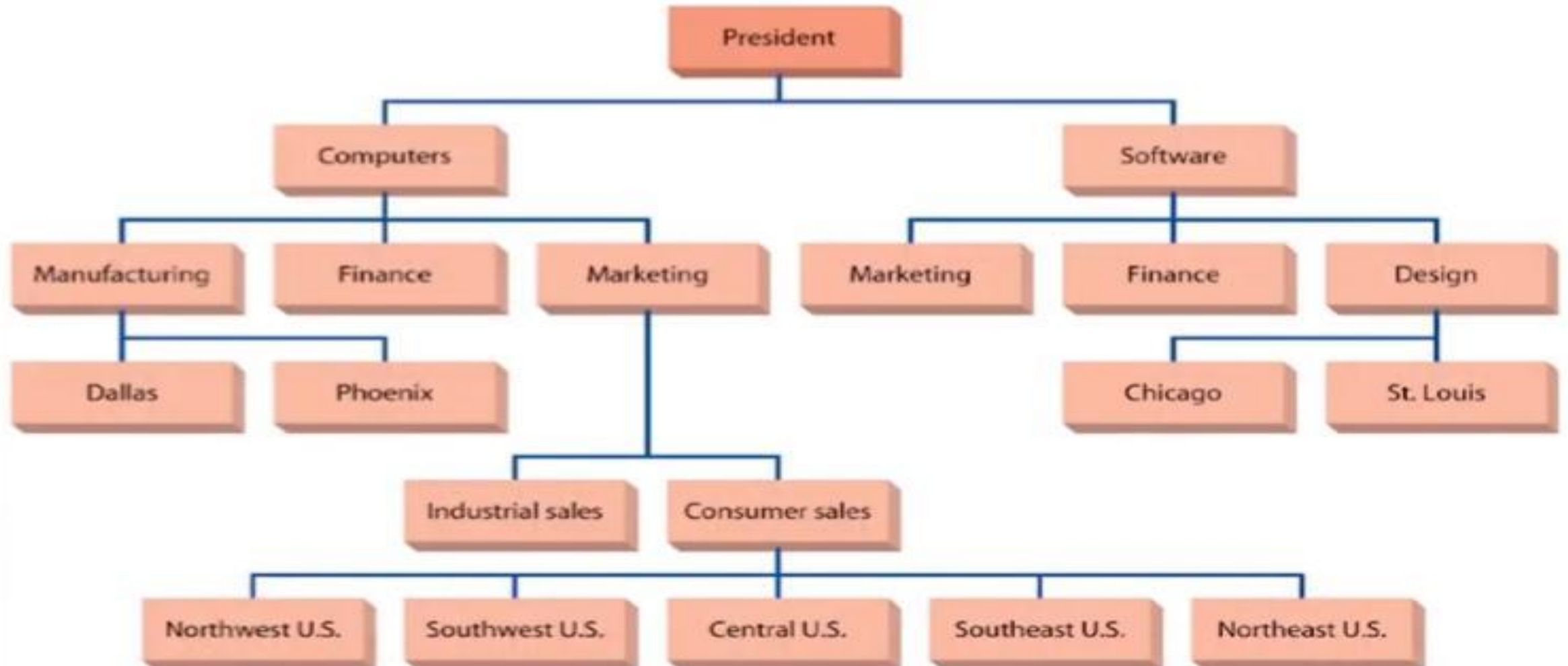
- **Functional Departmentalization** groups jobs involving the same or similar activities.
- **Product Departmentalization** groups activities around products or product groups.
- **Customer Departmentalization** occurs when the organization structures its activities to respond to and interact with specific customers or customer groups.
- **Location Departmentalization** groups jobs on the basis of defined geographic sites or areas.

CONT.

Other Considerations for Departmentalization:

- In some large organization, departments may be referred to as Divisions, Units, Sections and Bureaus.
- Regardless of the label used, they represent groups of jobs that have been tied together according to some unifying principle.
- Almost all organizations are likely to use multiple bases of departmentalization, depending on level.
- It is quite common that organizations use a variety of bases of departmentalization for different levels and different sets of activities.

DEPARTMENTALIZATION



3. ESTABLISHING REPORTING RELATIONSHIPS

Chain of Command is a clear and distinct line of authority among the positions in an organization that has two components:

- Unity of Command
- Scalar Principle



TALL VERSUS FLAT ORGANIZATIONS:

- Flat structures seem to lead to higher levels of employee morale and productivity.
- A wider span of management in a flat structure may result in a manager's having more administrative and supervisory responsibilities.
- If these responsibilities become excessive, the flat organization may suffer.

CONT.

- A tall structure is more expensive because of the larger number of managers.
- Communication in a tall structure seems to suffer due to the increased number of people through whom information must pass.

DETERMINING THE APPROPRIATE SPAN:

- The relative importance of each factor varies in different settings.
- Managers must determine the importance of each factor or set of factors when deciding the optimal span of management for their unique situation.

4. DISTRIBUTING AUTHORITY AMONG JOBS

Authority Is the Right to Perform or Command

- It allows its holder to act in certain designated ways and to directly influence the actions of others through orders.
- It also allows its holder to allocate the organization's resources to achieve organizational objectives.

RESPONSIBILITY IS COMMENSURATE WITH AUTHORITY

- A subordinate assigned a particular job should be given sufficient authority to enable him to carry out the job.



WHAT IS DELEGATION OF AUTHORITY?

- Delegation of authority means division of authority and powers downwards to the subordinate.
- Delegation is about entrusting someone else to do parts of your job.



WHAT IS ACCOUNTABILITY?

- When a subordinate is assigned some duties to be performed, he will be accountable to his superior for doing or not doing that work.



DELEGATION OF AUTHORITY

- The term 'delegation' refers to the process by which a superior gives a subordinate the authority to do a particular task.



THREE ESSENTIAL ELEMENTS OF DELEGATION

1. Assignment of **responsibility** to subordinates;
2. Granting of **some authority** to subordinates to enable them to perform the duties assigned;
3. Creating an **obligation** on the part of subordinates to perform the duties assigned to them.



KOONTZ AND O'DONNELL 7 PRINCIPLES



**Koontz and O'Donnell
give the following
7 Principles as Guides to
Delegation of Authority**



1. PRINCIPLE OF DELEGATION BY RESULTS EXPECTED:

- **Authority is delegated to achieve the enterprise objectives.**
- ‘Delegation by results expected implies that goals have been set and plans made, that these are communicated and understood, and that jobs have been set up to fit in with them’.

2. PRINCIPLE OF FUNCTIONAL DEFINITION:

- **The functions undertaken by managers are clearly explained.**
- ‘The more a position or a department has clear definitions of results expected, activities to be undertaken, organization, authority delegated, and authority and informational relationships with other positions, the more adequately individuals responsible can contribute –toward accomplishing enterprise objectives’.

3. SCALAR PRINCIPLES:

- **This refers to the chain of authority relationships from superior to subordinate throughout the organization.**
- ‘As the scalar principle indicates, this clearer thin line is from the top of the bottom of the organization structure, the better delegation and orderly decision making are facilitated’.

4. AUTHORITY LEVEL PRINCIPLES:

- Each manager can take his own decision within his authority and only matters not within his authority must be referred to his superior.

5. PRINCIPLE OF UNITY OF COMMAND:

- **This means that a subordinate is answerable to only one boss.**
- 'The more completely an individual has a relationship to a single superior, the less the problem of conflict in instructions and the greater the feeling of personal responsibility for results'.

6. PRINCIPLE OF ABSOLUTENESS OF RESPONSIBILITY:

- The responsibility of the subordinate to his superior for the assigned responsibility is absolute.

7. PRINCIPLE OF PARITY OF AUTHORITY AND STABILITY:

- **This principle states that authority should correspond to the responsibility.**
- 'The responsibility for action cannot be greater than that implied by a authority delegated, nor can it be less'.

DISTRIBUTING AUTHORITY

- **Authority** is the power that has been legitimized (approved) by the organization.



DISTRIBUTING AUTHORITY

- **Delegation** is the process by which managers assign a portion of their total workload to others.



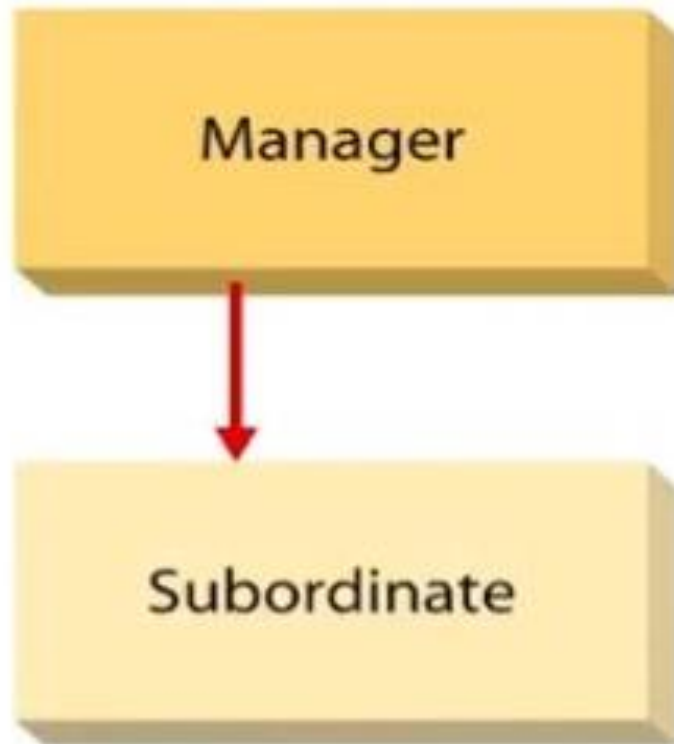
DISTRIBUTING AUTHORITY

Steps in the Delegation Process:

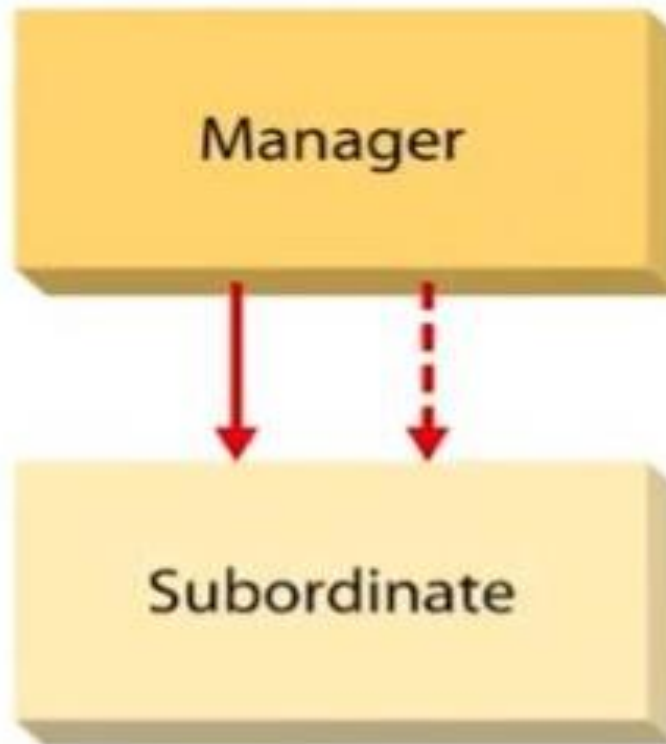
- Manager should assign responsibility or give the subordinate a job to do.
- Manager must give the subordinate the authority to do the job.
- Manager must establish the subordinate's accountability – 'willingness to accept an obligation to carry out the task assigned'.

STEPS IN THE DELEGATION PROCESS

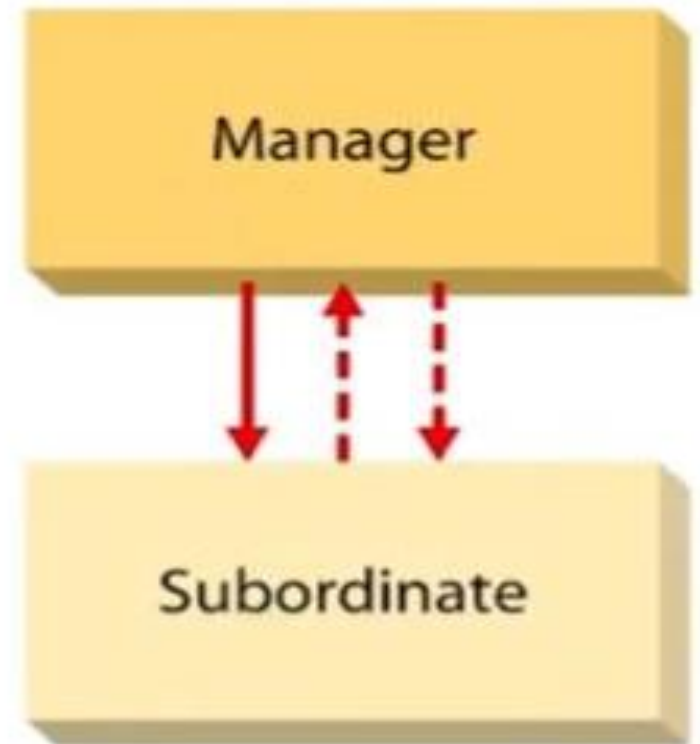
Step 1
Assigning responsibility



Step 2
Granting authority



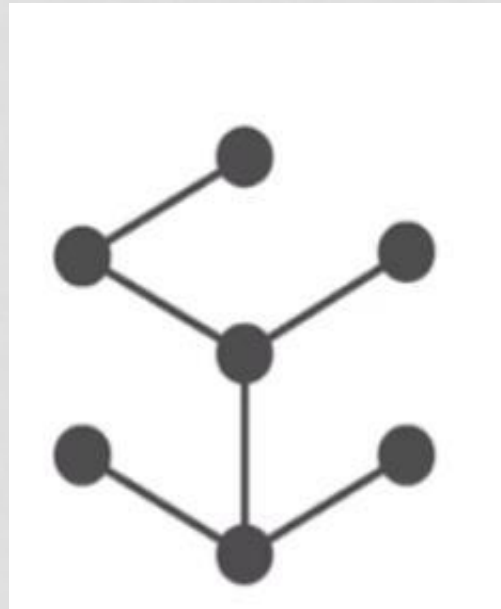
Step 3
Creating accountability



DISTRIBUTING AUTHORITY

Decentralization:

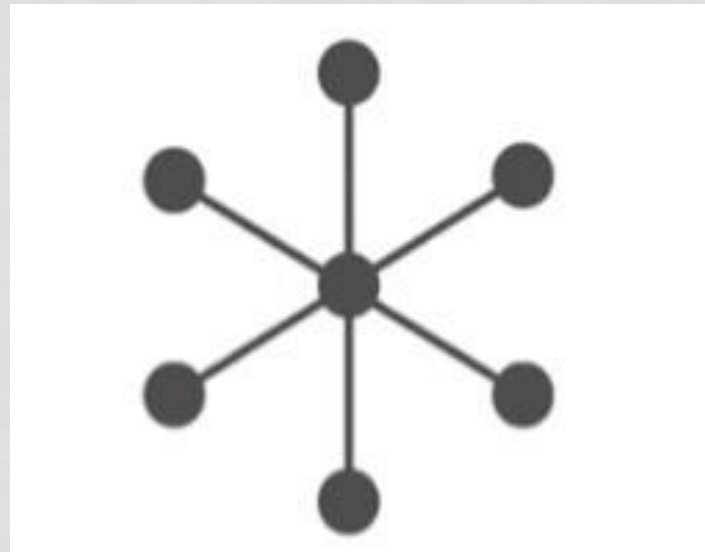
The process of systematically delegating power and authority throughout the organization to middle and lower-level managers.



DISTRIBUTING AUTHORITY

Centralization:

The process of systematically retaining power and authority in the hands of higher-level managers.



DISTRIBUTING AUTHORITY – WHICH WAY TO GO?

No organization is ever completely decentralized or centralized; some firms tend toward one or the other.

- Usually, the greater the complexity and uncertainty of the external environment, the greater the tendency to decentralize.
- An organization's history will play a role – firms tend to do what they have done in the past.
- The costlier and riskier the decisions, the more pressure there is to centralize.
- If lower-level managers are well qualified, there is a tendency to decentralize and vice versa.

COORDINATING ACTIVITIES

- **Coordination** is the process of linking the activities of the various departments of the organization.
- **Pooled Interdependence** exists when units operate with little interaction and their output is simply pooled.

- **Sequential Interdependence** occurs when the output of one unit becomes the input for another in sequential fashion.
- **Reciprocal interdependence** occurs when activities flow both ways between units.

STRUCTURAL COORDINATION TECHNIQUES

These techniques were designed to achieve and maintain coordination among interdependent units. They include:

- The Managerial Hierarchy
- Rules And Procedures
- Liaison Roles
- Task Forces
- Integrating Departments

THE MANAGERIAL HIERARCHY

One manager is placed in charge of interdependent departments or units.

Rules and Procedures

- Routine coordination activities may be handled by rules and standard procedures.
- However, complex or unusual problems may have to be handled independently.

LIAISON ROLES

- A manager acts as a common point of contact but has no formal authority over the interdependent groups.
- He/she simply serves as a facilitator of information flow between the units.
- He/she maintains familiarity with each unit and can answer questions and otherwise serve to integrate the activities.

TASK FORCES

- A task force may be needed when interdependence is complex and several interdependent units are involved.
- It is created by drawing one representative from each unit.
- Coordination function is then spread across several individuals, each of whom has special information about one of the units involved.
- When coordination of project is completed, the task force is dissolved.

INTEGRATED DEPARTMENTS

- Similar to a task force but is more permanent.
- Usually has more authority than a task force and may even be given some budgetary control.
- Generally has some permanent members as well as members who are assigned temporarily from units that are particularly in need of coordination.
- Firms characterized by complex and dynamic environments tend to use integrated departments to maintain internal integration and coordination.

ELECTRONIC COORDINATION

- E-mail makes it easier for people to communicate at all levels.
- Electronic scheduling is used and makes it easier for individuals' schedules to be coordinated to set meetings and know when individuals are otherwise available.
- Some organizations require project contractors, subcontractors and suppliers to use a common web-based communication/reporting system to make coordination easier among the units.

DIFFERENTIATING BETWEEN POSITIONS

- **Line position** is in the direct chain of command that is responsible for achieving an organization's goals.



DIFFERENTIATING BETWEEN POSITIONS

- **Staff position** is one intended to provide expertise, advice and support for line positions.



DIFFERENCES BETWEEN LINE AND STAFF

- **Line managers** work toward organizational goals; **staff managers** advise and assist.
- **Line managers** have formal and legitimate authority; **staff authority** is less concrete and may take a variety of forms:
 - **Compulsory authority** – line manager must listen to advice of staff manager, but can choose to take it or ignore it.
 - **Functional authority** – formal or legitimate authority given to staff managers over activities related to their specialties.

ADMINISTRATIVE INTENSITY

- Administrative intensity is the degree to which managerial positions are concentrated in staff positions.
- An organization with 'high' administrative intensity is one with many staff positions relative to the number of line positions.

ADMINISTRATIVE INTENSITY

- Relative 'low' administrative intensity reflects more line positions relative to staff positions.
- Organizations would generally like to devote most of their HR investment to line managers because they contribute directly to the organization's basic goals.
- Practice today is leading toward reducing staff positions.